The International Monetary System

Week 3a

- What policy tools may a government use in relation to economy?
- What were the major events in international political economy in the 20th century?

Exchange Rates, Balance of Payments and Trade-Offs

Exchange rates

- Weak/Strong (Weakening/Strengthening, Depreciating/Appreciating, Devaluation/Revaluation, Losing/Gaining value)
  - Weak or Strong? (1¥ = 0.14$ → 1¥ = 0.33$ or 1$=7¥ → 1$=3¥)

Exchange Rates (USD/JPY monthly average spot rates at 17.00, Tokyo Market)

Source: Bank of Japan Online Statistics (accessed 2013)

Exchange Rates

- High exchange rate
  - Good for . . . import, outward investments
    → capital flight . . . could add to deflation

- Low exchange rate
  - Good for . . . export, inward investments
    → capital injection . . . could add to inflation

- Interest rates and exchange rates
  - Everything else being equal . . .
    - IR rise (deflation, unemployment) → upward pressure on FX
    - IR fall (inflation, employment) → downward pressure on FX

Exchange-rate systems

- Fixed exchange-rate system
  - Fixed to some external standard – gold or another country's currency
    - Very small changes in a currency's exchange rate allowed
  - Government maintain fixed price by buying and selling currencies
    - Higher than the target → e.g. Japan: selling ¥ buying $
    - Lower than the target → e.g. Japan: selling $ buying ¥
    - Needs to maintain **foreign exchange (or gold) reserves**

- Floating exchange-rate system
  - Let the market decide . . .
  - Demand falls → currency depreciates

- In between . . .
  - Fixed-but-adjustable exchange-rate system
  - Managed float – best describes current systems

EXCHANGE-RATE ARRANGEMENTS IN THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

Monetary Union	Fixed-but-Adjustable	Managed Floating	Floating
Austria	Denmark	Czech Rep.	Australia
Belgium	Hungary	Slovak Rep.	Canada
Finland			Great Britain
France			Iceland
Germany			Japan
Greece			Korea
Ireland			Mexico
Italy			New Zealand
Luxembourg			Norway
Netherlands			Poland
Portugal			Sweden
Spain			Switzerland
			Turkey
			United States

Source: IMF 2004.

- (Oatley 2010, 267)

In extreme forms. . .

- Trade-offs between exchange-rate stability and domestic economic autonomy.

Exchange-rate systems	Exchange-rate stability	Economic autonomy
Fixed	Stable	No
Floating	Unstable	Yes

Balance of Payments

- Balance of all international transactions between a particular country and the rest of the world for a given period
  - Exports, imports of goods and services
  - Loans given and taken
  - Investments
  - Both public (government) and private (individuals, firms. . .)
  - Foreign aid and other government's spending abroad
  - . . .

- Current Account
  - All current (meaning 'nonfinancial') transactions

- Capital Account
  - Financial transactions
  - Assets – stock, bond, factory, land. . .

Table 10.1 U.S. Balance of Payments, 2007 (Millions of U.S. Dollars)

Current Account	
Trade in Goods	−1,967,853
Imports	1,148,481
Exports	
Trade in Services	−16,768
Net Military Transactions	−2,972
Other Government	2,181
Net Travel and Transportation	57,566
Royalties and License Fees	79,108
Other Services, Net	**−700,257**
Balance on Goods and Services	817,779
Income Receipts	−736,030
Income Payments	**81,749**
Balance on Income	**−114,548**
Unilateral Transfers, Net	**−733,056**
Balance on Current Account	

Capital Account

Total U.S. Owned Assets Abroad	**−1,289,854**
U.S. Official Reserve Assets	−122
Other U.S. Government Assets	−22,273
U.S. Private Assets	**−1,267,459**
Foreign Owned Assets in the United States	2,057,703
Foreign Official Assets	411,058
Other Foreign Assets	1,646,645
Balance on Capital Account	**767,849**
Financial Derivatives, Net	6496
Overall Balance (Statistical Discrepancy)	**41,289**

Note: I incorporated the transactions that the Bureau of Economic Analysis classifies as Capital Account into unilateral transfers, as per prior balance of payments accounting methodology.
Source: Bureau of Economic Analysis, "U.S. International Transactions Data," *http://www.bea.gov/international/xls/table1.xls* (accessed August 7, 2008).

Where to get data?
OECD; see OECD Glossary page for definition of terms
Bureau of Economic Analysis (US)
State Administration of Foreign Exchange (China)

- Cautions . . .
  - The accounting methods vary. . . e.g. unilateral transfers were included in capital account in the past but in current account now

- Balance on Current Account
  = what a country earned – what the country spent

- How to cover current account deficit?
  - borrow (debt) or sell assets
    → both not good for future growth → cannot sustain for long

- Current account deficit should mirror capital account surplus
  - US and the rest of the world:
    - US – current account deficit
    - Rest of the world – must have capital account deficit

- BoP should balance - - - 'error' if not (especially after including reserves under capital account imbalances)

BoP Adjustment

- BoP imbalance – when the current and capital accounts do not balance
  - both deficit and surplus
- BoP Adjustment – bringing a country's payments back into balance

How does adjustment work? . . . Suppose . . .

- Exchange Rate ¥100 = $1

- Japan sold ¥800b. goods, services, financial assets to the US
- US sold $4 b. goods, services, financial assets to Japan

- Japan needs to buy $4b. (¥400b.)
- US needs to buy ¥800b. ($8b.)
- FX market imbalance: $4b. oversupply/¥400b. shortage

- BoP imbalance
  - Japan: surplus of $4b. (¥400b.)
  - US: deficit of $4b. (¥400b.)

Under fixed exchange-rate system

Japan

- Japan: ¥ – faces appreciation
- **Intervention**:
  sells ¥400b. and buys $4b.
  (increased reserve)

- **Money supply** increased by ¥400b.
- Interest rates fall
- **Prices rise**

- Increasing imports from US

US

- US: $ - faces depreciation
- **Intervention**:
  sells ¥400b. and buys $4b. (reduced reserve)

- **Money supply** reduced by $4b.
- Interest rates rise
- **Prices fall**

- Reduced imports from Japan

BoP adjusted through **changes in the relative price of goods** brought about by the **changes in money supplies** caused by the **intervention**

Under floating exchange-rate system

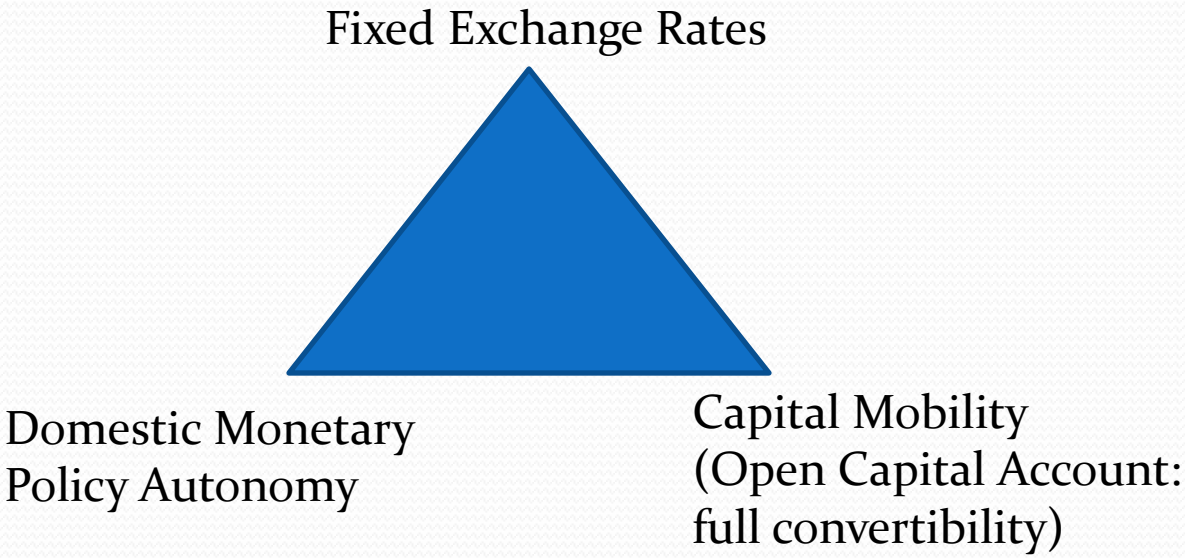
- Imbalance in the foreign exchange market
- $ depreciates against ¥
- Japanese products become more expensive to Americans
- American products become cheaper to Japanese

- Internal prices remain the same but relative prices change → rebalance BoP.

Trade-offs

- . . . between exchange rates systems and domestic autonomy
  - Floating : less stable but more autonomy
  - Fixed: stable but less autonomy over domestic economy
  - . . . but closed (restrictive) capital market can buffer the effects of FX intervention on home economy

- **The Unholy Trinity** (ch.11, 241p.): a government can achieve one or two but not all three of these goals simultaneously



Questions from the real world

- Who should pick up the bill?
  - Normally the country with BoP deficit will be more desperate to adjust . . . but depends on relative power
- 'Price elasticity of demand' and 'elasticity of supply of domestic producers' also matter
  - Affects rebalancing through changes in prices
- 'Income elasticity of demand'
  - Affects whether trade deficit of a country will rebalance under recessions
- Wage flexibility (or stickiness)
  - Flexible (not sticky) – price of labour will fall with the fall in the prices
  - Inflexible (sticky) – output and employment fall → prices fall later

In general . . .

Revisiting Trade-offs

- Trade-offs under Fixed Exchange Rate System
  - Surplus country intervention: Strengthening FX → intervention by selling currency → expansionary policy (lower IR)
  - Deficit country intervention: Weakening FX → intervention by buying currency → restrictive policy (higher IR)

- Political implications
  - Unemployment and Inflation
  - But complications: capital injection/flight, elasticity, customs by financial institutions

- Government's tool for intervention
  - Fiscal policy
  - Monetary policy

- Open/Closed capital market
  - Closed (restrictive) capital market can buffer the effects of FX intervention on home economy

International-domestic linkages

- Who should adjust?
  - Deficit country – high IR / restrictive policy - deflation/depression/unemployment before job creation
  - Surplus country – low IR / expansionary policy- inflation

- Will adjustment lead to stabilisation?
  - Expansionary policy might not lead to growing employment – inflation without job growth (investment abroad or in sectors that do not provide more jobs)
  - Further depress domestic demand . . .

- IR and international implications
  - Low IR → affects exchange rates → affects trades and investment flows
  - High IR → invites investments → capital flight by other countries

- Fixed but adjustable → invites speculative attacks (importance of reserves)

Reserves

- Needs to be . . .
  - Low inflation
  - Low volatility
  - Convertibility

- Dollar retained its role as international currency
  - 1970s-80s:
    - 90% of official reserves excluding gold
    - 70% of official holdings of foreign exchange

  - Other countries reluctance
    - Germany and Japan – capital control until 1980s

- But dominance fell
  - US deficit and Japan/Germany surplus
  - 1980s liberalisation of Japan and Germany – partly due to US pressure

- Triffin Dilemma
  - Reserve based single currency faces the dilemma between *liquidity* and *confidence*

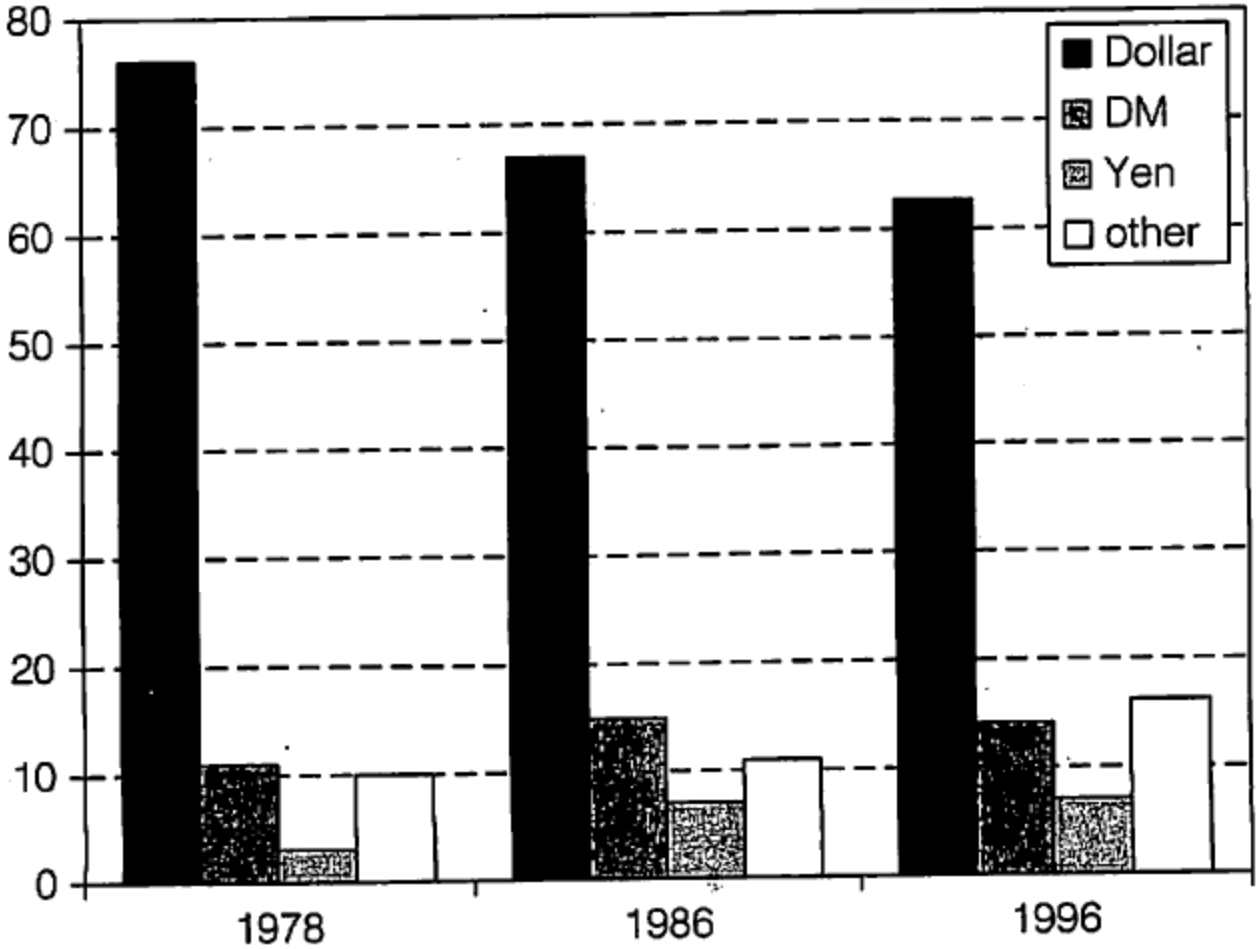
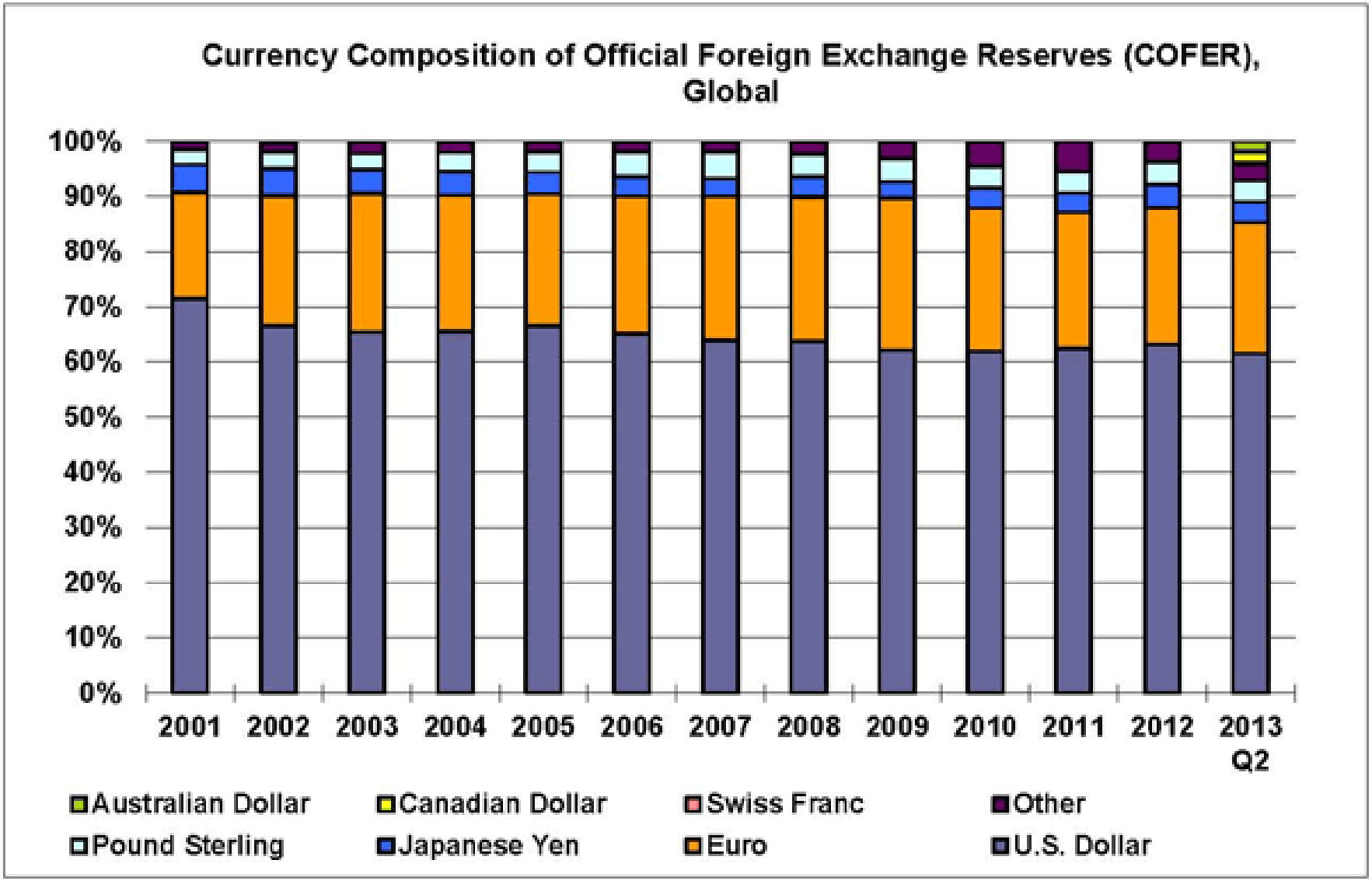


FIGURE 2.6 The Dollar as Percent of Total Official Foreign Currency Holdings, 1978, 1986, and 1996

SOURCE: International Monetary Fund, *Annual Reports*, various years.

Spero and Hart 2010, 30



Source: International Monetary Fund, COFER Report September 2013, as of October 17, 2013

However. . .

- Increasing needs for reserve
  - growing savings (private/public) in surplus countries
  - increasing demand of dollar
    - 2001-2004 East Asian countries more than doubled their total reserves ($ 1 tr. to $ 2.3 tr.; China $ 900b.)
    - Developing countries total: $3.35 tr. (1970s 6-8% of GDP, 2004 30%)

- Mostly held as T-bills (low interest rates)
  - Opportunity cost for developing countries
  - Cheap loans for the US → financing trade deficit/fiscal deficit through debts (sustaining CA deficit) → weaker or more volatile $ → 'self-defeating'

- SDR to replace US$?
- Tobin Tax?

Wednesday . . .

- Determine your group's country
- Find a monetary news
- Think if you could answer one of the questions in relation to the news

1. What motivates governments to take particular policies in relation to trade, investment and monetary arrangements?

2. Are certain policies better than others for a country?

3. Is there a hegemonic shift in international economic relations?

4. How can we improve the international financial, trade or investment system?

- Or any other topics in relation to chapters 10-13 (particularly 12 and 13)

- First assignment is due by next Wednesday (25th October)